Why Property Prices (Almost) Never Fall in India

"Client Highlights & Insights from Vivek Kaul's BasisPoint Series"

₹ 2 cr+ Home Loan Experts

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THE BIG IDEA

India's housing market doesn't behave like a normal market — because it isn't one.

Prices staying firm even in a soft market isn't magic. It's the product of wealth, incentives and psychology as much as supply and demand. Here are six reasons prices almost never fall — and what it means for you.

Curated from Vivek Kaul's two-part BasisPoint Insight series.

01

Owners simply don't need to sell

Much of India's housing sits with the top 1%, bought as a status symbol or a store of wealth. They can keep units locked and empty for years — so there's no pressure to ever cut the price.

> *"Millions of homes are owned by people who can afford to wait indefinitely."*
>
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02

The market never actually “clears”

Real demand needs both desire and the ability to pay. When buyers can't meet the ask and sellers won't budge, transactions dry up — homes stay vacant instead of getting cheaper.

> *“Weak demand doesn't lower prices — the market just waits. Sometimes for years.”*
>
> VIVEK KAUL · BASISPOINT INSIGHT

03

Anchoring keeps sellers hopeful

A steady drumbeat of “premium projects lapped up” convinces owners that prices only ever rise. That belief makes them even more reluctant to discount what they already hold.

> *“Where's the demand that sets that price? It's all in the mind.”*
>
> VIVEK KAUL · BASISPOINT INSIGHT

04

Builders and brokers own the narrative

The people who set the story are paid to say prices only climb. With no timely, public price index, the years prices stagnated or fell — NCR, 2013 to 2020 — barely get a mention.

> *“The narrative is totally controlled by real estate companies and consultants.”*
>
> VIVEK KAUL · BASISPOINT INSIGHT

05

It's where speculative capital rests

Cash from IPO exits, promoter stake sales and undeclared income keeps flowing into property as a “safe” store of value. That inflates premium demand and squeezes genuine middle-class buyers out.

As the wealthy buy up premium homes, builders shift upmarket too — edging the middle-class buyer out of the market entirely.

REASON 06 / SIX

06

The “returns” ignore the real math

Maintenance, illiquidity and the time-value of money rarely enter the calculation when people tout real-estate “returns.” Meanwhile, flats bought purely as investments sit locked — quietly removing supply from the real market.

~1 crore flats lie vacant across India — bought as investments, not homes. NREDC, 2024

WHAT THIS MEANS FOR YOU

Don't wait for a “correction” that may never come.

For a genuine end-user, firm prices are a signal to lock in the right property — and the right loan structure — sooner rather than later. The real skill is separating FOMO from a sound, affordability-first decision.

Highlights curated by Peaceful Loans from Vivek Kaul's two-part BasisPoint Insight series, “Why Housing Prices (Almost) Never Fall in India” & “How Expensive Homes Are Shrinking India's Future.” Views are the author's.